



MAHARASHTRA CHIEF MINISTER
ASHOK CHAVAN (LEFT) WITH ANAND
MAHINDRA AT THE CHAKAN PLANT

Big Investments

ONGC

Rs 26,500 crore in exploration activities to ramp up production in the current fiscal.

INDIANOIL

Rs 47,000 crore in refining and expansion of pipelines over the next five years.

ITC

Rs 7,000 crore in large greenfield manufacturing facilities and technology upgradation.

LARSEN & TOUBRO

Rs 5,000 crore in forging unit, shipyard, roads and ports in three years.

MAHINDRA & MAHINDRA

Rs 4,500 crore for capacity expansion and R&D in three years.

JAYPEE ASSOCIATES

Rs 3,000 crore for capacity expansion in cement business in the current fiscal.

Source: Industry

"We are investing in innovative manufacturing to create benchmarks of automotive excellence."

ANAND MAHINDRA, VC and MD, M&M

Mitra, all the fundamental drivers are in place for a strong pickup in capital spending. "You have a combination of low interest rates, higher industrial production and improving demand which will give a further momentum to the investment cycle," says Mitra.

All this has created a positive outlook for the economy and investments, says R.S. Sharma, chairman, ONGC. He will steer the upstream major's capex of Rs 26,500 crore this fiscal. "We are investing a much larger portion of our finances in our core exploration and production activities, like technology induction in surveys, data interpretation and deep water drilling," says Sharma. Gas Authority of India Ltd (GAIL) is in-

vesting Rs 28,000 crore over the next five years in building 5,000 km of pipeline infrastructure. Bullish on investments shaping the prospects of India's recovery story, B.M. Bansal, chairman, IndianOil Corporation, is currently driving projects with an approved cost of about Rs 47,000 crore over the next five years. "These include a major investment in a refinery at Paradip and major pipeline expansion projects, including the Paradip-Sambalpur-Raipur-Ranchi line (1,108 km) and the Dadri-Panipat regassified natural gas line," says Bansal.

A spillover of this confidence is also visible in the consumer durables segment with ITC aggressively investing Rs 7,000 crore in large greenfield manufacturing facilities and technology upgradation. "Future investments are expected to be a multiple of this and will include deployment in paper, paperboard, consumer goods and hotels," says K. Vaidyanath, executive director, ITC. Marico too has expansion plans. "Yes, we are making fresh investments," confirms Milind Sarvate, chief of finance and strategy, Marico Ltd. "We have recently invested Rs 90 crore in setting up manufacturing facilities in Himachal Pradesh—Paonta Sahib and Baddi—spread over 2009-10 and 2010-11 and expect to spend Rs 40-50 crore in the next two years."

The auto industry has lined up Rs 84,000 crore from original equipment manufacturers and Rs 53,000 crore from component manufacturers by 2020, according to Ambuj Sharma, joint secretary, Ministry of Heavy Industry. Passenger vehicles segment, during April-May 2010, grew at 34.49 per cent over the same period last year, as per data from the Society of Indian Automobile Manufacturers. Maruti



"Given the positive outlook on the economy, we have earmarked more resources for exploration."

R.S. SHARMA, Chairman, ONGC